

Cash flow management

The survival of a business depends on how it handles its cash flow. A company's ability to convert its earnings into cash—its liquidity—is equally important. No matter how profitable a business is, it may become insolvent if it cannot pay its bills on time. A new business may even become a victim of its own success and fail through “insolvency by overtrading” if, for example, it spends too much on expansion before payments come in, and then runs out of cash to pay debts and liabilities.

In order to manage cash flow, it is essential for companies to forecast cash inflows and outflows. Sales predictions and cash conversion rates are important. A schedule of when payments are due from customers, and of when a business has to pay its own wages, bills, suppliers, debts, and other costs, can help to predict shortfalls. If cash flow is mismanaged, a business may have to hand out money before it receives payment, leading to cash shortages. Smart businesses, such as supermarkets, receive stock on credit, but are paid in cash—generating a cash surplus.

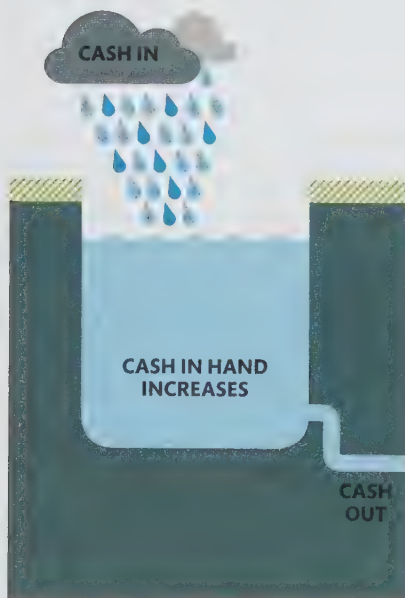


WARNING

Top five cash flow problems

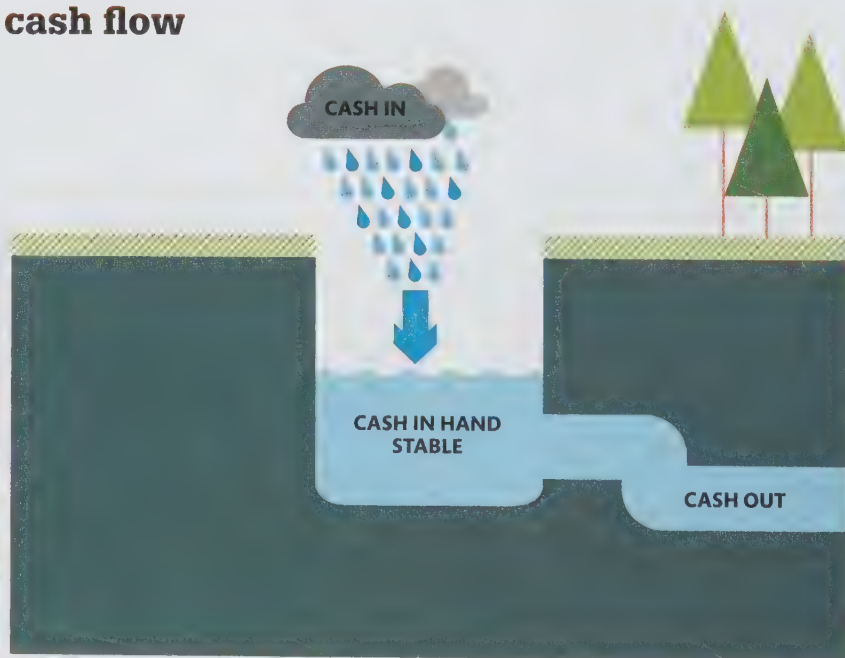
- **The slow payment of invoices.**
- **A gap** between credit terms—for example, outgoings set at 30 days and invoices set at 60–120 days.
- **A decline** in sales due to the economic climate, competition, or the product becoming outmoded.
- **Underpriced products**, usually in start-ups that are competing.
- **Excessive outlay** on payroll and overheads, for example when buying rather than hiring assets.

Positive and negative cash flow



Positive cash flow

Cash flowing into the business is greater than cash flowing out. The stock, or reserve of cash, increases. A business in this position is thriving.



Stable cash flow

Cash flows into the business at the same rate at which it flows out. A business doing well may decide that it can afford to increase its investments or pay higher dividends. Despite these extra expenses, the fact that its cash stock remains stable is a sign that a business is healthy.